

ASSETS WE WILL USE TO TRADE

The next important decision to make while creating a trading system is to determine the assets that we will be trading in. We will determine the universe or subset of assets that we will be trading in and next, the security type we will use to trade – Options, Futures or Cash market.



DETERMINING THE TRADING UNIVERSE

First and foremost, we will determine the trading universe that we will be actively trading in. This means our decision will involve – whether we will trade in large caps, mid caps or small caps. We can also only trade in indices, commodities, and currencies. Then there are advanced derivative instruments to trade in spreads and interest rates. We will avoid these for now. These involve large amounts, high risk and expertise. One can learn these if they become expert in all that we have discussed so far.

Once we have finalized the space that we want to trade in, we can further narrow it down to the industries that we would prefer to trade-in. Some traders go as far as determining the exact stock names that they will trade-in. They might have a list of 15-20 stocks they will trade. They have a clear understanding of the movement of these stocks and are familiar with their patterns as they have been observing these for quite some time now.